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GNIOT Institute of Management Studies – PGDM (Batch 2022-24)
(TRIMESTER – III) END TERM EXAMINATION, APRIL - 2023
FINANCIAL MODELLING

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 100]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 100 words)

Q.1. Write short notes on the following:

(10×3=30)

- (a) What is Risk Mitigation?
- (b) Discuss the importance of protection of the Model.
- (c) Why debt Sizing is important in Project Finance.
- (d) Explain Debt Service Coverage Ratio.
- (e) Differentiate between Levered and Unlevered Cash Flows.
- (f) Define Enterprise Value.
- (g) Define Proforma EPS.
- (h) Who are the Project Sponsors.
- (i) Differentiate between Sensitivity Analysis and Scenario Analysis.
- (j) Differentiate between Goal Seek and data table tools of What-if-Analysis.

SECTION-B

(Long Answer Type Questions)

Attempt all questions of the following:

(4×10=40)

Q.2. (a) With the help of suitable examples discuss the appropriate practices for developing a financial model.**OR**

- (b). A project has the following Profit & Loss Statement. Calculate the Unlevered and Levered cash Flows for the project.

	₹ in lakhs
Sales Revenue	20
Cost of Goods	8
General expenses	3
Depreciation	2
Profit before Interest & taxes	7
Interest	1
Profit Before tax	6
Tax @ 45%	2.7
Profit after tax	3.3

Q.3. (a) Discuss in detail the various approaches through which valuation of a company can be done, with the help of suitable examples.

OR

- (b) ABC limited has borrowed ₹ 10,00,000 at an interest rate of 12 percent. The loan is to be repaid in 5 equal annual instalments payable at the end of each of the next 5 years. Develop the loan amortization Schedule. **(Attempt this question on MS-Excel)**

Q.4. (a) Discuss the importance of Project Finance Modelling and the various users of the model. Also comment on the various types of risk that can be associated with the project.

OR

- (b) XYZ Ltd is expecting a cash flow available for debt services of ₹ 1,00,000 in a year from a project having a life of 5 years. The company decided to have a Debt Service Coverage ratio of 3. Suggest the company to have the ideal amount of debt in the capital if the debt is available at 9% in the market. **Prepare a Schedule on MS-Excel to attempt this question.**

Q.5. (a) What is Equity Research Report. Discuss in detail the types of Equity Research Report and the major components of the report.

OR

- (b) Write Short notes on any two of the following:

- Margins in the Financial Statement
- NPV Vs. IRR
- CFADS

SECTION-C

Q.6. Attempt all parts of the following:

(30)

(Attempt the case on Ms-Excel)

Following is the given income Statement of the Acquirer and Target, where you are required to develop the Mereger model and suggest the Acquirer that whether the Merger is Accretive or Dilutive at the different premium levels of:

- 15%
- 20%
- 25%

Particulars	Acquirer	Target
Sales	1,00,00,000	50,00,000
Less: COGS	70,00,000	40,00,000
Gross profit	30,00,000	10,00,000
Less: Operating expenses		
Selling general & admin	4,00,000	3,00,000
EBITDA	26,00,000	7,00,000
Less: D&A	4,00,000	60,000
EBIT	22,00,000	6,40,000
Less: Interest expenses	-	-
Add: Other income		
EBT	22,00,000	6,40,000
Less: Income tax	6,60,000	1,92,000
Net income	15,40,000	4,48,000

Additional Information:

- The number of diluted shares of the acquirer is 10,00,000 and of the target is 4,00,000.
- Both the entities fall under the tax bracket of 30%.
- Current market price of the share of Acquirer is ₹300 and of the Target is ₹75.
- Current rate of interest for borrowing in the market is 9% and on investment is 6%.
- The synergies out of the Merger decision will be of ₹3,00,00.
- The Merger deal is on the terms that the acquisition value will be paid in the ratio of 30% cash and 40% debt and 30% equity.

6 (a) Prepare the Accretive /Dilutive Model for the given merger.

(20 Marks)

6(b) Apply Quick and Dirty Rule and build Accretive/Dilutive Model.

(10 marks)